



MEMORANDUM

CN - No. 2013-0010

The Philippine Stock Exchange, Inc.

☐ Trading Rules	☐ Computer Systems Update
☐ Membership Rules	☐ Administrative Matters
☐ Listing Rules	☒ ETF: <u>PSE Rules on Exchange Traded Funds</u>

TO : Investing Public and Market Participants

DATE : 4 April 2013

**SUBJECT : PSE Rules on Exchange Traded Funds
Part A General Provisions and Part B Listing and Disclosure**

Please be advised that The Philippine Stock Exchange, Inc.'s Rules on Exchange Traded Funds ("PSE ETF Rules") have been approved by the Securities and Exchange Commission ("SEC") on March 18, 2013.

For your ready reference, please find attached a copy of the approved PSE ETF Rules, with Part A containing General Provisions and Part B referring to Listing and Disclosure. Please note that Part C (ETF Market Making Rules) and the Implementing Guidelines of ETF Market Making Rules are pending review and discussions with the SEC.

Finally, the PSE ETF Rules must be read in conjunction with the SEC ETF Rules issued on October 22, 2012 in its Memorandum Circular No. 10, Series of 2012.

For your information and guidance.

HANS B. SICAT *per*
President and Chief Executive Officer

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RULES ON EXCHANGE TRADED FUNDS

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PART A General Provisions

SECTION 1. Rationale

The Philippine Stock Exchange, Inc.'s ("Exchange") Rules on Exchange Traded Funds ("Rules") are being made to govern the listing and trading of Exchange Traded Funds ("ETF") to facilitate more investment opportunities for investors. These Rules are consistent with the requirements under Section 8 (1) of the Rules and Regulations on Exchange-Traded Funds of the Securities and Exchange Commission (the "Commission", the rules shall hereinafter be referred to as the "SEC ETF Rules") that the shares of stock of an ETF shall be listed and traded in a registered Exchange.

SECTION 2. Applicability of the Rules of the Exchange

These Rules shall be read in conjunction with the SEC ETF Rules, the Securities Regulation Code and its implementing rules and regulations, the Investment Company Act and other relevant laws, rules and regulations and shall form part of all rules of the Exchange. All rules of the Exchange not inconsistent with these Rules shall apply to ETFs.

A copy of the SEC ETF Rules is attached herewith as Annex A and is incorporated by reference to these Rules.

SECTION 3. Scope and Application

Only companies duly registered with the Commission as ETFs may apply for ETF listing in the Exchange.

SECTION 4. ETF Participants

- a. **ETF** – An Exchange Traded Fund is an open-end investment company that continuously issues and redeems its shares of stock in Creation Unit in exchange for delivery of a basket of securities representing an index whose performance the ETF endeavors to track; provided that, the terms and conditions relative to the issuance and redemption in Creation Unit shall be prescribed in its Registration Statement.

An ETF is established in accordance with the Investment Company Act of the Philippines and duly registered with the Commission.

- b. **Fund Manager** - In addition to the requirements for the appointment of a Fund Manager under Section 15 of the SEC ETF Rules, the Fund Manager must likewise have been in operation for at least two (2) years and have satisfactory experience in managing funds.

An ETF must seek approval of the majority of its outstanding capital stock for any change of the Fund Manager.

- c. **Authorized Participant** - An ETF shall appoint at least two (2) Authorized Participants, who are registered broker-dealers and active trading participants of the Exchange, who shall meet the following requirements:
- (i) Those enumerated in Subsections 16.2, 16.3 and 16.4 of the SEC ETF Rules;
 - (ii) A minimum paid-up capital requirement of at least One Hundred Million Pesos (Php100,000,000.00);
 - (iii) Such other qualifications that the Commission and the Exchange may impose or require from time to time.

An ETF shall ensure that it has at least two (2) Authorized Participants at all times.

- d. **Market Maker** - At least one (1) of the designated Authorized Participants of the ETF shall be designated as the ETF Market Maker.

The Market Maker shall be subject to the provisions on ETF Market Making Rules found in Part C of these Rules and any applicable rules and regulations that the Commission and/or the Exchange may issue from time to time.

- e. **Custodian** - An ETF's custodian must comply with the minimum requirements for the appointment of a Custodian under Section 17 of the SEC ETF Rules.
- f. **Transfer Agent** - In addition to the minimum requirements for the appointment of a Transfer Agent under Section 18 of the SEC ETF Rules, a Transfer Agent must have a paid-in capitalization of at least One Hundred Million Pesos (Php 100,000,000.00).
- g. **Auditor** - The ETF shall engage an independent auditing firm duly accredited by the Commission and acceptable to the Exchange to perform an independent audit of the ETF's financial records.
- h. **Index Provider** - The ETF must engage an independent Index Provider which is compliant with the requirements set forth in Section 14 of the SEC ETF Rules.

PART B Listing and Disclosure

An ETF shall be listed on the Exchange's ETF Board, which is a separate board from the Exchange's existing boards. The initial listing requirements under the Listing Rules are applicable to ETFs, unless otherwise provided herein or inconsistent with these Rules.

For the avoidance of doubt, the following provisions of the Listing Rules shall not be applicable to listing of ETFs:

- a. Methods of Initial Listing;¹
- b. Requirements for First Board Listing;²

¹ Currently, Article III, Part C of the Listing Rules.

- c. Requirements for Second Board Listing;³
- d. Requirements for Small and Medium Enterprises Board Listing;⁴
- e. Amended Rules on Listing by Way of Introduction;⁵
- f. Listing of Debt Securities;⁶
- g. Rules on Additional Listing of Securities;⁷ and
- h. Fees for initial and additional listing of equity securities,⁸ substitutional listing,⁹ and listing of debt securities.¹⁰

SECTION 5. General Criteria for Admission to Listing

- a. **Minimum Authorized Capital Stock and Paid-up capital** - An ETF applying to list in the Exchange shall have a minimum authorized capital stock and a minimum paid-up capital of at least Two Hundred Fifty Million Pesos (Php 250,000,000.00).
- b. **Offering Requirement** - When the registration of the ETF's securities becomes effective and its listing application is approved by the Exchange, the ETF may, at its option, undertake an offering for its securities. Such offering will not be covered by the IPO Rules on Distribution of Shares under Article III, Part G of the Exchange's Listing Rules, including the provisions pertaining to the twenty percent (20%) mandatory allocation for Trading Participants and the ten percent (10%) mandatory allocation for Local Small Investors.

In the event that an ETF undertakes an offering for its securities, Article III, Part A, Sections 4, 5 and 13 of the Listing Rules shall be applicable.

- c. **Shelf listing** - The ETF may apply for listing the equivalent number of shares subject of the Registration Statement. The Exchange's approval of the listing of the ETF shares shall remain valid provided that the Registration and Licensing Order as well as the Permit to Sell Securities for Sale issued by the Commission covering the subject ETF shares are likewise valid and subsisting. The eligibility for trading of the ETF shares shall take effect only upon the Exchange's receipt of an official notice issued by an authorized officer of the ETF and confirmed in writing by the Custodian and Transfer Agent, that such number of ETF shares has been created and issued to or through the Authorized Participant.

Should there be ETF shares which shall remain unissued upon the lapse of the shelf registration period, the said ETF shares shall automatically be removed from the

² Currently, Article III, Part D of the Listing Rules.

³ Currently, Article III, Part E of the Listing Rules.

⁴ Currently, Article III, Part F of the Listing Rules.

⁵ Currently, Article III, Part H, as amended of the Listing Rules.

⁶ Currently, Article IV of the Listing Rules.

⁷ Currently, Article V of the Listing Rules.

⁸ Currently, Article VI, Parts B and C of the Listing Rules.

⁹ Currently, Article VI, Part D of the Listing Rules.

¹⁰ Currently, Article VI, Part E of the Listing Rules.

Exchange's registry and may only be re-listed with the Exchange upon the submission by the ETF of the following:

- 1) Copies of the documents submitted by the ETF to the Commission under Section 7.3(B)(1) of the SEC ETF Rules; and
 - 2) Payment of the processing fee of Fifty Thousand Pesos (PhP 50,000.00) or such amount as the Exchange may prescribe.
- d. **Underlying securities** – The underlying securities comprising the index which the applicant ETF intends to track must be listed and traded in a registered exchange and have sufficient liquidity. The ETF shall disclose the liquidity criteria and methodology in its Prospectus.
- e. **Procedure for processing of listing applications** - An application for listing shall only be accepted upon submission of the documentary requirements for listing of an ETF as set forth in Annex B and payment of the applicable processing fee. The general procedures for the listing of equity securities as contained in Article III Part B of the Listing Rules and any subsequent amendment and policies relevant thereto shall be adopted in processing listing applications for ETFs in accordance with the Exchange's initial listing rules.
- f. **Contents of Listing Application** - In addition to all minimum requirements set forth in the SEC ETF Rules (including, but not limited to, Sections 7, 11, 12, 13 and 19 thereof), the listing application of an ETF must contain the following information:
 - (i) Complete information regarding the Fund Manager, Authorized Participants, Market Maker, Custodian, Auditor, Index Provider and Transfer Agent of the ETF;
 - (ii) The financial track record of the Fund Manager and when applicable, the persons or parties engaged by the Fund Manager to carry out activities necessary for the operation of the ETF pursuant to Subsection 15.5 of the SEC ETF Rules. The required information shall include, among others, their related engagement history and work experience and details of all funds and ETFs managed or advised by them;
 - (iii) Any other information or document that may be required by the Exchange in connection with its evaluation of an ETF's listing application.
- g. **Prospectus, Press Releases and Other Similar Documents** - In addition to the requirements under Sections 19 and 20 of the SEC ETF Rules, all prospectuses, primers, subscription agreement forms, newspaper prints, advertisements, press releases and similar documents in connection with the issuance shall first be submitted to the Exchange for review and disclosure purposes and may not be printed en masse, distributed or published without the prior written approval of the Exchange.
- h. **Suitability Rule** – An ETF shall be in compliance with the Suitability Rule as contained in Article 1 Part B Sections 1 b to m of the Listing Rules.

SECTION 6. Continuing Listing Requirements

- a. Without in any way limiting the applicability of the rules governing the continuing listing of securities already in effect and all the rules and regulations set forth by the Exchange, the following shall be observed at all times:
 - (i) Minimum Public Ownership (MPO) – As provided in the MPO rules of the Exchange, the ETF shall maintain a public ownership of at least 10% of the issued and outstanding shares, exclusive of treasury shares, or such other number as the Exchange may from time to time prescribe.

To further implement the guidelines in determining public ownership, and for purposes of computing the MPO of an ETF, ETF shares held by Authorized Participants in the course of performing their duties as such or as Market Makers, and shares acquired through the process of creation and redemption shall be considered public shareholdings.
 - (ii) The ETF shall maintain all applicable regulatory licenses and accreditation;
 - (iii) The ETF must ensure that all necessary facilities and information are available to enable holders of its listed shares to exercise their rights.
- b. The ETF must have an Investor Relations Office which manages the investor relations program of the ETF. The said program must ensure that information affecting the company are communicated effectively to investors. This program shall include, at the minimum, a corporate website that contains, among others, information about the company, such as but not limited to the following:
 - (i) Company information – controlling stockholders, board of directors and management team
 - (ii) Company News – analyst briefing report, latest news, press releases, newsletter (if any)
 - (iii) Financial report – annual and quarterly report for the past 10 years or the period applicable to the ETF
 - (iv) Disclosures - recent disclosures to PSE and SEC for the past 10 years or the period applicable to the ETF
 - (v) Investor FAQs – commonly asked questions of shareholders
 - (vi) Investor Contacts – email for feedback/comments, shareholder assistance and service
 - (vii) Stock Information – key figures, dividends, stock information

- c. Periodic Reporting, Disclosure Policy, and Other Requirements – The general structured and unstructured reportorial requirements shall apply to ETFs under the Disclosure Rules of the Exchange, in addition to the reportorial requirements under Section 27 of the SEC ETF Rules.

In addition, the ETF must likewise comply with the following:

(i) Periodic Reports

- a) The ETF must disclose the iNAV every one (1) minute or such other frequency as may be prescribed by the Commission from time to time or as proposed by the Exchange in its rules and approved by the Commission.

The iNAV, as defined in the SEC ETF Rules, is an approximation of the current value of the basket of securities on a per share basis computed at a one (1) minute interval throughout the trading hours of the Exchange.

The iNAV calculation may be provided by the ETF or the ETF Fund Manager or a third party.

- b) An ETF must announce no later than 4:30 p.m. of every trading day, or on a frequency that the Exchange may from time to time prescribe, via the Online Disclosure System of the Exchange (ODiSy) the following information:

- (1) Net Asset Value (NAV) and NAV per share;
- (2) Issued and outstanding shares of the ETF;
- (3) Underlying index; and
- (4) Tracking Error as defined under Section 5 (21) of the SEC ETF Rules.

Note: Pursuant to a resolution issued and approved by the Exchange's Board of Directors on 11 September 2013, the cut-off time for the ETF Daily Report was amended to 6:30 p.m. (Per Resolution No. 141 Series of 2013 of the Exchange's Board of Directors)

- (ii) Annual Report – In addition to the requirements under the Securities Regulation Code and the SEC ETF Rules, an ETF must submit an annual report which shall disclose the following information within one hundred five (105) days after the end of the fiscal year, or such other time as the Commission, by rule, shall prescribe:

- a) A list of all investments with a value greater than 5% of the ETF's gross assets, and at least the 10 largest investments stating their:
- (1) applicable comparative periodic figures, if any;
 - (2) brief description of the business;

- (3) proportion of share capital owned;
 - (4) cost;
 - (5) valuation of other assets and investments, and in the case of listed investments, market value;
 - (6) dividends received during the year (indicating any interim dividends);
 - (7) dividend payout ratio;
 - (8) extraordinary items, if any; and
 - (9) net assets attributable to investments.
- b) An analysis of any provision for diminution in the value of investments, stating for each such investment:
 - (1) cost;
 - (2) book value; and
 - (3) provision made.
- c) Breakdown of the income received:
 - (1) dividends and interest; and
 - (2) other income, if any.
- d) An analysis of realized and unrealized gain/loss on investment(s)
- e) The name of the Fund Manager together with an indication of the terms and duration of its appointment and the basis for its remuneration;
- f) The Securities Lending activities of the ETF

The ETF as a direct lender shall include the latest two (2) bi-annual Summary Reports of their Securities Borrowing and Lending (SBL) transactions submitted to the Commission.

- g) Amount of related-party transactions for the period under review;

The term “related parties” shall refer to “affiliates of the ETF, the Fund Manager, the Custodian, the Transfer Agent, or the Index Provider, accounted for by the equity method of accounting; trusts for the benefit of employees such as pension and profit sharing plans that are managed by or under the trusteeship of the management of the ETF; directors, major shareholders or principal owners of the ETF, the Fund Manager, the Custodian, the Transfer

Agent, or the Index Provider; and their management; members of the immediate families of major shareholders, principal owners and management of the ETF and the ETF Fund Manager.”

- h) The performance of the ETF in comparison to its underlying index, in a consistent format, covering the following periods of time: 3-month, 6-month, 1-year, 3-year, 5-year, 10-year and since inception of the ETF.
 - i) Expense ratios for the period under review and for the immediately preceding year. It should be indicated that the expense ratio does not include brokerage and other transaction costs, performance fee, foreign exchange gains/losses, and tax deducted at source or arising out of income received front or back end loads arising from the purchase or sale of other investments; and
 - j) Turnover ratios for the period under review and for the immediately preceding year.
- (iii) Quarterly Reports – In addition to the requirements under the Securities Regulation Code and the SEC ETF Rules, particularly Subsection 27.2, an ETF must submit Quarterly Reports which must disclose the following information within forty-five (45) days from the end of each quarter:
- a) Top 10 holdings at market value and as a percentage of NAV as at the end of the period under review and for the immediately preceding year;
 - b) Expense ratios for the period under review and for the immediately preceding year. It should be indicated that the expense ratio does not include brokerage and other transaction costs, performance fee, foreign exchange gains/losses, and tax deducted at source or arising out of income received front or back end loads arising from the purchase or sale of other investments; and
 - c) Turnover ratios for the period under review and for the immediately preceding year.
- (iv) Monthly Issuance and Redemption Report of ETF Creation Units to be submitted not later than five (5) trading days from the last day of the preceding month;
- (v) If the ETF is also listed on another stock exchange, any information released to that stock exchange must also be released to the Exchange at the same time. The disclosure to the Exchange shall be in English.
- (vi) The ETF must also comply with the following reportorial requirements:
- a) The ETF must notify the Exchange at the end of each dividend distribution period the following as soon as they are computed by the Fund Manager:
 - (1) The net amount per share;
 - (2) The date of the recording of the list of shareholders; and

- b) The Fund Manager must state clearly, in all disclosures issued in respect of the sale of shares of the ETF, the terms upon which it undertakes to repurchase ETF shares. If there is no undertaking, it must state that fact; and
- c) The ETF must notify the Exchange of the following within ten (10) minutes from their occurrence:
 - (1) Any creation and redemption and the resulting issued and outstanding ETF shares;
 - (2) Breach of tracking error threshold;
 - (3) Failure and/or inability to disclose the iNAV at the prescribed frequency;
 - (4) Any changes in the control of the Fund Manager;
 - (5) Any proposed change in the general character, nature or investment objective of the ETF and/or fund management;
 - (6) Any resolution or decision to renew, vary or terminate the management agreement;
 - (7) The fact of inability of the Market Maker to perform its functions or the absence of the Market Maker and the reasons therefor;
 - (8) The name and qualifications of the Authorized Participant which will assume the functions and obligations of the ETF's Market Maker;
 - (9) The decision to terminate the ETF's agreement with any of the following participants and the reasons therefor:
 - (a) Market Maker;
 - (b) Authorized Participant;
 - (c) Fund Manager;
 - (d) Custodian;
 - (e) Index Provider; and
 - (f) Transfer Agent.

Provided, however, that within thirty (30) days prior to the effectivity of the termination, the ETF must notify the Exchange in writing of the fact of termination.

Further, the ETF must engage a new Market Maker/Authorized Participant/Fund Manager/Custodian/Index Provider or Transfer Agent no later than ten (10) trading days prior to the effectivity date of the termination of services of the previous Market Maker/Authorized Participant/Fund Manager/Custodian/Index Provider or Transfer Agent. Notice to the Exchange that the ETF has engaged a new Market Maker/Authorized Participant/Fund Manager/

Custodian/Index Provider or Transfer Agent must be filed within the same period.

Upon failure to engage the replacement within the prescribed period, the Exchange shall suspend trading of securities of the ETF which shall be lifted upon receipt of notice of the engagement of a new Market Maker/Authorized Participant/Fund Manager/Custodian/Index Provider or Transfer Agent.

(10) Detailed information including the qualifications of the new Authorized Participant(s) which will assume the functions and obligations of the ETF's Authorized Participants;

(11) Any trading halt or suspension imposed by another exchange on the ETF Shares and the reasons therefor, if the ETF is simultaneously listed in another stock exchange;

(12) Any trading halt or suspension of the underlying securities and subsequent lifting thereof, including the percentage of the said underlying securities in relation to the applicable current index value and, in the case of underlying securities listed in another exchange, the reason for the halt or suspension;

(13) Any material facts related to the listed ETF, or the operation, business or assets of the ETF, which may significantly affect the investment decisions of investors.

d) Other reports and records as may be required by the Commission from time to time.

SECTION 7. Trading Halts and Suspensions

a. Trading of the ETF shares shall be suspended under the following circumstances:

(i) If the underlying securities accounting for 20% or more thereof have been suspended;

(ii) Absence of a Market Maker for a period of one (1) month;

(iii) When the Commission issues an order of suspension or revocation on the registration of the ETF shares; or

(iv) Other applicable grounds provided under the Listing and Disclosure Rules and Trading Rules of the Exchange.

b. Trading of the ETF shares shall be halted for an hour, or for any appropriate period as may be deemed necessary by the Exchange, on the first day of occurrence of the following circumstances:

- (i) Breach of tracking error threshold;
 - (ii) Any of the underlying securities has been delisted;
 - (iii) Trading has been halted for one or more underlying securities accounting for 20% or more of the applicable current index value;
 - (iv) If the iNAV is not timely published within the frequency prescribed in these Rules; or
 - (v) Other applicable grounds provided under the Listing and Disclosure Rules and Trading Rules of the Exchange.
- c. In the case of ETF shares simultaneously listed in another exchange, the Exchange may halt or suspend the trading of the ETF shares if the trading thereof is halted or suspended in the other exchange.

SECTION 8. Delisting of an ETF

- a. In addition to the grounds for involuntary delisting under the Delisting Rules, the following shall be grounds for the involuntary delisting of an ETF:
- (i) Failure by the ETF to comply with its continuing listing obligations, including the failure to pay the applicable fees;
 - (ii) Continued breach of the tracking error threshold set by the ETF for a period of at least one year. Tracking error as defined in the SEC ETF Rules Section 5.21 is the standard deviation of the difference in relative returns between the ETF and its underlying index;
 - (iii) Revocation of the registration of the ETF and/or its shares;
 - (iv) Such other grounds as may be determined by the Exchange, where delisting of the ETF may be appropriate in the public interest or for the protection of investors.
- b. Tender Offer/Redemption Requirement – In all instances, an ETF that undergoes delisting, must purchase or redeem, either by itself, a stockholder, or through a proponent, more than ninety percent (90%) of the issued and outstanding shares of the ETF.

The required redemption may be made:

- (i) By delivering the corresponding basket of securities to the concerned shareholder after the surrender of the ETF shares in accordance with Section 11.1 of the SEC ETF Rules; and/or
- (ii) In exchange for cash in accordance with Section 13 of the SEC ETF Rules.

The ETF shall demonstrate that following the redemption of the shares, the ETF, the stockholder or the proponent, has obtained more than ninety percent (90%) of the issued

and outstanding shares of the ETF, or such level or percentage as may be prescribed by the Exchange.

The purchase or redemption price or valuation shall be duly supported by a fairness opinion prepared by an independent and reputable firm, and in accordance with the Guidelines for Fairness Opinions and Valuation Reports of the Exchange.

SECTION 9. Penalties and Fines

- a. For non-compliance with the required number of Authorized Participants, a monetary penalty of One Hundred Pesos (Php100.00) for every day of non-compliance shall be imposed upon the ETF.
- b. For the absence of a Market Maker, a monetary penalty of Five Hundred Pesos (Php500.00) for every day of non-compliance shall be imposed upon the ETF.
- c. In the absence of a Fund Manager, Custodian, Index Provider, Authorized Participant, Transfer Agent, the Exchange shall suspend the trading of securities of the ETF which shall be lifted upon receipt of notice of the engagement of a new Fund Manager, Custodian, Index Provider, Authorized Participant, or Transfer Agent .
- d. For any violation of these Rules not stated herein, the penalties under the PSE Disclosure Rules shall apply.

SECTION 10. Fees

An ETF shall be required to pay the following fees:

- a. Processing Fee – Upon filing of its application to list, the ETF shall pay a non-refundable processing fee of Fifty Thousand Pesos (Php50,000.00) plus other incidental expenses.
- b. Listing Fee – The ETF shall pay a flat rate of One Hundred Thousand Pesos (Php100,000.00).
- c. Annual Listing Maintenance Fee – The ETF shall pay an Annual Listing Maintenance Fee of 1/200 of 1% of the total market capitalization but in no case shall it be more than Two Hundred Fifty Thousand Pesos (Php250,000.00).

SECTION 11. Compliance with Laws Governing Investments

The ETF must ensure compliance with the provisions of existing laws, rules and regulations and issuances including, but not limited to, the Anti-Money Laundering Act of the Philippines, the Investment Company Act, and any other applicable law or regulations.



RULES ON EXCHANGE TRADED FUNDS

PART C ETF Market Making Rules

- SECTION 12. ETF Market Making Rules
- SECTION 13. Registration of the ETF Market Maker
- SECTION 14. Exchange Reportorial Requirements of the ETF Market Maker
- SECTION 15. Market Making Orders
- SECTION 16. Occurrence of a Wide Spread
- SECTION 17. Other ETF Market Making Obligations
- SECTION 18. Segregation of Functions
- SECTION 19. Temporary Suspension of the Obligations to be Performed by the ETF Market Maker
- SECTION 20. Voluntary Termination of a Designated Specialist
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- SECTION 22. Expiration of ETF Market Making Agreement
- SECTION 23. Involuntary Suspension and Termination of an ETF Market Maker
- SECTION 24. Resumption of ETF Market Making Obligations
- SECTION 25. Violations and Penalties for ETF Market Making Operations

Implementing Guidelines of ETF Market Making Rules

- SECTION 1. Registration of ETF Market Maker
- SECTION 2. Obligations of an ETF Market Maker

PART C ETF Market Making Rules

SECTION 12. ETF Market Making Rules

Pursuant to Sections 5(14) and 8(2) of the SEC ETF Rules, which provide for the obligations of a Market Maker as a required participant in the ETF, the following sections comprise the Market Making Rules specific to ETFs:

SECTION 13. Registration of the ETF Market Maker

- a. In order to participate in the ETF trading process as a Market Maker, a Trading Participant shall apply for registration as an ETF Market Maker with the Exchange. For this purpose, the Trading Participant shall fulfill other requirements that may be imposed by the Exchange and the Commission, including, without limitation, the requirement to have at least one (1) licensed Salesman who has been accredited as a Designated Specialist by the Exchange or any person authorized by the Commission. Designated Specialists, as defined in the PSE Trading Rules, shall mean the appointed licensed Salesman employed by a Market Maker to perform Market Making obligations.
- b. Upon compliance with the requirements of the Exchange and the Commission, the applicant shall be registered as an authorized ETF Market Maker and may be engaged as such by an ETF.
- c. The registration and authority of a Trading Participant to act as an ETF Market Maker shall be non-transferable.
- d. The registration of an ETF Market Maker and the accreditation of Designated Specialists shall be valid for a period of one (1) year unless sooner terminated under these Rules. The registration and accreditation may be renewed thereafter subject to compliance with the requirements of the Exchange and the Commission.
- e. Only a registered ETF Market Maker shall be allowed to enter into a Market Making agreement with an ETF and shall be allowed to perform its Market Making functions pursuant to the agreement and in accordance with the requirements of the Exchange and the Commission.
- f. Only accredited Designated Specialists are allowed to perform the Market Making functions and obligations of the ETF Market Maker.
- g. The ETF Market Maker shall furnish the Exchange, through the PSE Listings Department, copies of all Market Making agreements it has entered into with ETF/s. The Market Maker shall comply with this obligation throughout the duration of its registration. However, the Exchange shall not be liable to the ETF Market Maker, ETF

or any other party for any and all losses, claims, or damages, direct or indirect, arising out of or in connection with the Market Making agreement.

SECTION 14. Exchange Reportorial Requirements of the ETF Market Maker

The ETF Market Maker shall immediately inform the Exchange, through the PSE Market Operations Division, delivered by hand or submitted in electronic form, within one (1) trading day from their knowledge provided that such provision of information to the Exchange shall not be later than three (3) trading days from occurrence of any of the following matters:

- a. Any material change in information relating to the ETF Market Maker or its Designated Specialist/s;
- b. Any actual or expected breach by the Designated Specialist/s of the ETF Market Making rules and the requirements of the Exchange;
- c. Any disciplinary actions taken or any penalties imposed by the SEC or any regulatory body, on the ETF Market Maker or the Designated Specialist;
- d. Any disciplinary action taken by the ETF Market Maker against its Designated Specialist/s;
- e. Notice of filing or pendency of any criminal case involving fraud filed by or against the ETF Market Maker, its officers, directors or Designated Specialist/s;
- f. Notice of filing or pendency of any civil case amounting to at least One Hundred Thousand Pesos (Php100,000.00) is filed by or against the ETF Market Maker.

The ETF Market Maker shall supply any additional information or supporting documents that may be requested by the Exchange in connection with the aforementioned circumstances.

The Exchange reserves the right to disclose to the public any and all documentary submissions and disclosures of the ETF Market Maker upon a determination that the same is necessary in order to maintain a fair and orderly market for the protection of the investing public or upon order of the Commission.

SECTION 15. Market Making Orders

Only when the ETF has a market making agreement with its Market Maker can its shares be subject of Market Making orders.

SECTION 16. Occurrence of a Wide Spread

Wide spread shall mean the occurrence of any of the following situations:

- a. the bid and ask spread is larger than a limit specified by the Exchange from time to time;

- b. there is only one-sided quotation; or
- c. there is no existing quotation on both the bid and ask queues.

The abovementioned circumstances shall be in occurrence continuously for a period of time, as the Exchange may from time to time prescribe, during the Continuous Trading phase, defined as the period during the market open, where orders are immediately matched.

SECTION 17. Other ETF Market Making Obligations

- a. A Market Maker shall be permitted to act as a Market Maker for more than one ETF, subject to the approval by the Exchange.
- b. An ETF Market Maker shall only use its designated ETF Market Making account to enter Orders that are covered under, or in pursuance of, its ETF Market Making functions.
- c. An ETF Market Maker shall be allowed to maintain only the ETF Market Making and error account for the ETF in which it is designated as a Market Maker.
- d. An ETF Market Maker shall be fully responsible and liable for all ETF Market Making Orders entered into the Trading System. The ETF Market Maker, upon entering an ETF Market Making Order, warrants to the Exchange that the said Order is valid, binding and enforceable and that the necessary authorizations and approval have been secured.

All acts or violations of the Designated Specialist in performance of its market making obligations are binding on and considered acts or violations of the Market Maker.

- e. The Exchange reserves the right to define the parameters on ETF Market Making obligations of the ETF Market Maker as provided in Section 2 of the Implementing Guidelines of the ETF Market Making Rules and approved by the Commission. Subject to these Rules, each ETF Market Maker shall be obliged, upon occurrence of Wide Spread, to perform the following:
 - (i) enter buy and/or sell ETF Market Making Orders into the System in quantities not less than the minimum volume required by the Exchange to eliminate wide spread;
 - (ii) observe a maximum bid and offer spread throughout a mandatory period; and
 - (iii) maintain presence in the market within the period required by the Exchange.

The Exchange may periodically assess and revise the parameters to adjust to market conditions such as, but not limited to, excessive volatility of the relevant securities.

SECTION 18. Segregation of Functions

- a. The ETF Market Maker shall maintain proper segregation of functions within the firm to prevent the flow of information between its Designated Specialists and its other salesmen and any conflict of interest that may result.
- b. The ETF Market Maker shall ensure that its Designated Specialist does not, in the same trading day, enter orders or handle or manage any transactions relating to client accounts or to any other ETF.
- c. The ETF Market Maker shall maintain complete and identifiable books and records for its ETF Market Making transactions. The ETF Market Maker shall include a registry pinpointing the person who acted as the Designated Specialist(s) during a particular day or period.

SECTION 19. Temporary Suspension of the Obligations to be Performed by the ETF Market Maker

Any agreement between the ETF and the ETF Market Maker to the contrary notwithstanding, the Exchange may grant the request of an ETF for the temporary suspension of the market making obligations of its ETF Market Maker under any of the following circumstances:

- a. If the delay or inability to execute the obligation is due to technical problems arising from circumstances outside the reasonable control of the ETF Market Maker;
- b. If the Designated Specialist is temporarily unable to perform his functions for reasons beyond his control and there is no substitute Designated Specialist available; or
- c. Such other cases as the Exchange may deem necessary for a fair and orderly market and to protect the investing public.

The Exchange and the ETF shall immediately disclose any grant of a temporary suspension of the market making obligations by posting in their respective websites the decision to grant the request and stating therein the reason for granting the request and the period covered relative to the suspension.

The continuing disclosure requirements under the Securities Regulation Code and the Exchange Rules shall still have to be complied with by the ETF.

SECTION 20. Voluntary Termination of a Designated Specialist

The Exchange may, upon the written request of the ETF Market Maker, terminate the registration of its Designated Specialist and the Market Maker shall immediately assign a replacement, if necessary.

SECTION 21. Voluntary Withdrawal of Registration as ETF Market Maker

An ETF Market Maker may voluntarily withdraw as an ETF Market Maker for any ETF with which it has an existing ETF Market Making agreement provided it submits to the Exchange at least thirty (30) trading days prior to the intended date of withdrawal: (i) a written request for its withdrawal; and (ii) the written consent of the concerned ETF.

If the ETF Market Maker intends to completely cease its ETF Market Making operations, it shall submit to the Exchange at least thirty (30) trading days prior to the intended date of cessation: (i) a written request for its cessation; and (ii) the written consent of all ETFs with which it has existing ETF Market Making agreements. If the ETF Market Maker submits both requirements, it shall be eligible to reapply for registration as an ETF Market Maker at any time. If it submits only the request for cessation but fails to submit the written consent of the concerned ETFs, it shall only be eligible to reapply for registration as an ETF Market Maker after a cooling-off period of one (1) month from the effective date of cessation.

Within a reasonable time and in all cases prior to the intended date of withdrawal by the ETF Market Maker or its intended date of cessation of Market Making operations, the ETF shall submit to the Exchange the name and other details of the replacement ETF Market Maker appointed by the ETF. In cases where the previous ETF Market Maker is the sole ETF Market Maker of the ETF, the appointment of the replacement ETF Market Maker shall commence not later than the date of withdrawal or the date of the cessation of the ETF Market Making operations of the previous ETF Market Maker.

SECTION 22. Expiration of ETF Market Making Agreement

Upon expiration of the agreement between the ETF and the ETF Market Maker, the ETF Market Maker is prohibited from entering ETF Market Making Orders for that particular ETF.

SECTION 23. Involuntary Suspension and Termination of an ETF Market Maker

The Exchange may suspend the ETF Market Maker or terminate the ETF Market Maker's registration for any of the following causes:

- a. Substantial non-compliance with the ETF Market Making rules, regulations and guidelines of the Exchange;
- b. Failure to promptly settle any dues or fees payable to the Exchange;
- c. Suspension of the ETF Market Maker by the Commission, the Capital Markets Integrity Corporation or the Securities Clearing Corporation of the Philippines ; or
- d. Other reasons as deemed necessary by the Exchange to maintain an orderly and fair market.

Such suspension or termination of registration shall be without prejudice to any penal sanctions that may be imposed by the Exchange or to any civil, criminal and/or administrative action that the Exchange may take against the ETF Market Maker as a Trading Participant or its Designated Specialist in his capacity as a Licensed Salesman, as may be applicable under the circumstances.

SECTION 24. Resumption of ETF Market Making Obligations

- a. An ETF Market Maker whose market making obligations have been suspended by the Exchange shall be prohibited from performing its ETF Market Making activities until it receives the appropriate notification/clearance from the Exchange. The Exchange shall send an advisory to all Trading Participants informing them of the resumption of the functions of the ETF Market Maker.
- b. An ETF Market Maker whose registration has been terminated by the Exchange shall be prohibited from performing its ETF Market Making activities until it has re-registered as an ETF Market Maker. It shall be eligible to reapply for registration as an ETF Market Maker after a period of three (3) months counted from the effective date of termination, unless a longer period is imposed by the Exchange or the Commission under the circumstances.

SECTION 25. Violations and Penalties for ETF Market Making Operations

The following acts shall be considered violations of ETF Market Making Rules and shall be penalized in accordance with Article IX (Penal Sanctions) of the Trading Rules of the Exchange:

- a. Major Violations
 - (i) Using the ETF Market Making account for non-ETF Market Making transactions;
 - (ii) Allowing an unauthorized person or entity to use the ETF Market Making account;
 - (iii) Maintaining in its proprietary account, ETF shares for which it is engaged to act as Market Maker; and
 - (iv) Any acts similar or analogous to the foregoing;
 - (v) Non-compliance with the reportorial requirements of the Market Maker as specified in Part C Section 14 of these rules; and
 - (vi) Continuous failure by the ETF Market Maker to comply with its Market Making obligations under these Rules which may be detrimental to the interest of the investing public or cause a disruption in the fair and orderly maintenance of the market.
- b. Minor Violations

- (i) Failure to comply with the reportorial requirements under these ETF Market Making Rules.

The penalties imposed pursuant to these ETF Market Making Rules shall be without prejudice to any civil, criminal and/or administrative action that the Exchange may take against the violating party, or to any penalty that may be imposed under the Trading Rules, depending on the circumstances.

Implementing Guidelines of ETF Market Making Rules

SECTION 1. Registration of ETF Market Maker

- a. To register as an ETF Market Maker with the Exchange, an Authorized Participant designated by an ETF, shall meet the following requirements:
 - (i) Licensed to act as a broker/dealer by the Commission;
 - (ii) Registered as a trading participant of the Exchange;
 - (iii) Has been continuously operating as a broker/dealer for the five (5) year period immediately preceding the filing of the application;
 - (iv) Has at least one (1) Designated Specialist; and
 - (v) Has no violation of laws or serious non-compliance with rules and regulations for the last two (2) years prior to filing the application.
- b. The Authorized Participant designated by an ETF shall submit the following to the Exchange as an ETF Market Maker:
 - (i) Letter of Intent to operate as an ETF Market Maker duly signed by the nominee;
 - (ii) Board Resolution authorizing the Trading Participant to engage in ETF Market Making operations;
 - (iii) Processing fees in the amount of Five Thousand Pesos (₱5,000.00) for each issue, or such other amount as may be prescribed by the Exchange from time to time; and
 - (iv) Such other documents that may be required by the Exchange.

SECTION 2. Obligations of an ETF Market Maker

All ETF Market Makers must comply with the rules set by the Exchange. To ensure sufficient liquidity in the market, ETF Market Makers are obliged, upon occurrence of Wide Spread, to perform the following when posting Market Making orders:

a. Maximum Spread

An ETF Market Maker must ensure two-way quotes, i.e. buy and sell orders, with a maximum spread based on the table below:

Price		Maximum Spread
From	To	
0.0001	0.4950	20 ticks
0.5000	19.9800	15 ticks
20.0000	999.5000	10 ticks
1000.0000	UP	5 ticks

b. Minimum Order Quantity

Each Market Making order posted by an ETF Market Maker must have a minimum quantity of five (5) board lots. The Exchange may prescribe other appropriate volume requirements, as may be necessary.

c. Presence

- (i) The limit of the bid and ask spread for the situations under the definition of Wide Spread as stated in Section 16 of the ETF Market Making Rules shall be based on the following table:

Price		Bid and Ask Spread Limit
From	To	
0.0001	0.4950	Beyond 20 ticks
0.5000	19.9800	Beyond 15 ticks
20.0000	999.5000	Beyond 10 ticks
1000.0000	UP	Beyond 5 ticks

- (ii) The minimum period of time for which the situations described in Section 16 of the ETF Market Making Rules, must have occurred continuously for at least three (3) minutes, in order to constitute a Wide Spread.
- (iii) The period of time within which the ETF Market Maker must enter order/s to eliminate wide spread, must not exceed ninety (90) seconds.
- (iv) An ETF Market Maker shall maintain Market Making Orders for at least fifty percent (50%) of the time for any given trading day. This obligation is measured by getting

- the total number of hours/minutes that the Market Maker has an active order when the market is open at any given trading day.
- (v) An ETF Market Maker shall post and maintain Market Making Orders for a total of at least eighty percent (80%) of the time for one month. This obligation is measured by getting the total number of hours/minutes in a month that the Market Maker has an active order when the market is open.

Illustration:

ETF symbol: ABC
LTP: Php25.00
Tick size: 0.05
Lot size: 100

Using the table above, the Market Maker for ETF ABC must maintain a maximum spread of 10 ticks. This means that the difference between the best bid price and the best ask price for ETF ABC must not exceed .50 (10 ticks x .05). The market making orders to be entered must have a minimum quantity of 500 shares (5 board lots x 100 shares).

➤ Scenario 1:

Current Order Book

Volume	Bid	Ask	Volume
1,500	24.90	25.50	6,000
2,300	24.80	25.55	400
		25.60	1,200

In the current order book, the bid and ask spread is .60 which is beyond the maximum spread for ETF ABC. If this situation does not change for more than three (3) minutes, it is considered an occurrence of a wide spread. In this case, the Market Maker for ETF ABC is obliged to enter market making orders within ninety (90) seconds. The Market Maker may enter either of the following:

- Sell order: 500 shares at Php25.40

New Order Book

Volume	Bid	Ask	Volume
1,500	24.90	25.40	500
2,300	24.80	25.50	6,000
		25.55	400
		25.60	1,200

- Buy order: 700 shares at Php25.00

New Order Book

Volume	Bid	Ask	Volume
700	25.00	25.50	6,000
1,500	24.90	25.55	400

2,300	24.80	25.60	1,200
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- Buy order: 1,000 shares at Php24.95 and Sell order: 800 shares at Php25.45

New Order Book			
Volume	Bid	Ask	Volume
1,000	24.95	25.45	800
1,500	24.90	25.50	6,000
2,300	24.80	25.55	400
		25.60	1,200

- Buy order: 900 shares at Php25.00 and Sell order: 1,200 shares at Php25.35

New Order Book			
Volume	Bid	Ask	Volume
900	25.00	25.35	1,200
1,500	24.90	25.50	6,000
2,300	24.80	25.55	400
		25.60	1,200

➤ Scenario 2:

Current Order Book			
Volume	Bid	Ask	Volume
3,000	24.75		
200	24.60		

This scenario is considered a one-sided quotation or one-sided order book since there are no selling orders. Thus, if there are no selling orders that will be posted for more than three (3) minutes, it is already considered as an occurrence of a wider spread. In this case, the Market Maker is obliged to enter market making orders to maintain the maximum spread for the ETF which is 10 ticks (equivalent to .50 for ETF ABC). The Market Maker may enter either of the following:

- Sell order: 600 shares at Php25.25

New Order Book			
Volume	Bid	Ask	Volume
3,000	24.75	25.25	600
200	24.60		

- Buy order: 1,100 shares at Php24.80 and Sell order: 500 shares at Php25.30

New Order Book			
Volume	Bid	Ask	Volume
1,000	24.80	25.30	500
3,000	24.75		

200	24.60		
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- Buy order: 1,300 shares at Php24.85 and Sell order: 700 shares at Php25.00

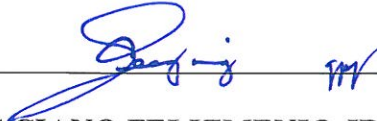
New Order Book			
Volume	Bid	Ask	Volume
1,300	24.85	25.00	700
3,000	24.75		
200	24.60		

The Exchange shall regularly monitor the performance of all ETF Market Makers using the parameters set forth in these guidelines. Any breach or non-compliance with the obligations provided herein may result in the suspension or termination of an ETF Market Maker for any disciplinary action deemed appropriate by the Exchange.

An ETF Market Maker's agreement with an ETF may not supersede the minimum requirements of the Exchange as set forth in these guidelines. The ETF may impose additional obligations for the ETF Market Maker provided that the obligations set by the Exchange are complied with at the minimum.

**THE PHILIPPINE STOCK EXCHANGE, INC.
RULES ON EXCHANGE TRADED FUNDS**

SECURITIES AND EXCHANGE COMMISSION



VICENTE GRACIANO FELIZMENIO JR.
Director, Market Regulation Department

THE PHILIPPINE STOCK EXCHANGE, INC.



ROEL A. REFRAN
Chief Operating Officer



HANS B. SICAT
President and Chief Executive Officer





Republic of the Philippines
Securities and Exchange Commission
SEC Building, EDSA, Greenhills, Mandaluyong City

SEC MEMORANDUM CIRCULAR NO. 10
Series of 2012

**SUBJECT: RULES AND REGULATIONS ON EXCHANGE
TRADED FUNDS**

WHEREAS, Republic Act No. 2629, otherwise known as the Investment Company Act ("ICA"), has been enacted to mitigate, if not eliminate the unfavorable conditions and harmful practices in investment companies that adversely affect the national public interest and the interest of investors;

WHEREAS, the ICA prescribes the regulation of investment companies and requires them to register as such investment companies with the Securities and Exchange Commission ("Commission") and to comply with certain standards including, among others, the regular public disclosure of financial situation, investment policies and objectives, and their fund portfolios as well as their pricing and fees.

WHEREAS, the ICA grants authority to the Commission to issue from time to time rules and regulations and orders as are necessary or appropriate to exercise its powers under the ICA;

WHEREAS, the ICA enables the Commission as part of its rule-making power to issue rules and regulations defining accounting, technical and trade terms and prescribing the form or forms in which information required in registration statements, applications, and reports to the Commission shall be set forth;

WHEREAS, under the ICA, the Commission shall have the power to classify persons, securities and other matters within its jurisdiction and prescribe different requirements for different classes of persons, securities, or matters;

WHEREAS, the Commission determines that a new investment product known as exchange traded fund ("ETF") is a type of open-end investment company whose operation differs significantly from the more common type of open-end investment company popularly known as mutual fund;

WHEREAS, there is a need to classify ETF as a type of open-end investment company having distinct characteristics making necessary the promulgation of these rules and regulations, among others, on the issuance and redemption as well as trading and settlement of ETF shares to ensure that the objectives of ICA are met as well as accommodate the distinct characteristics of ETF;

WHEREAS, ETF shares are required to be registered pursuant to the requirements of Sections 8 and 12 of the Securities Regulation Code ("SRC") and the trading thereof shall be governed by the pertinent provisions of the SRC;

WHEREAS, under the SRC, the Commission may by rule or order, conditionally or unconditionally exempt any person, security or transaction, or class or classes of persons, securities or transactions from any provision of the said laws;

NOW, THEREFORE, the Commission hereby issues and promulgates the following rules and regulations governing Exchange Traded Funds as well as the transactions, persons and all other activities and practices involved therein.

SECTION 1- Title of Rules and Regulations

These Rules and Regulations shall be entitled as the **"Rules and Regulations on Exchange Traded Funds."**

SECTION 2- Interpretation of Rules

Any doubt in the interpretation of these Rules and Regulations shall be resolved by the Commission in a manner which would establish a socially conscious free market that regulates itself, encourage the widest participation of ownership in enterprises, enhance the democratization of wealth, promote

the development of the capital market, protect investors and ensure full and timely disclosure of material information.

SECTION 3 – Coverage

These Rules and Regulations shall apply only to passively-managed ETFs. Amendments to these may be accordingly introduced to address issues such as but not limited to those affecting other forms of ETF, including actively-managed ETFs, upon determination by the Commission that such other forms of ETF are necessary for the development of the capital market.

SECTION 4 – Exchange Traded Fund

An Exchange Traded Fund or ETF is an open-end investment company that continuously issues and redeems its shares of stock in creation unit in exchange for delivery of a basket of securities representing an index whose performance the ETF endeavors to track; provided that, the terms and conditions relative to the issuance and redemption in creation unit shall be prescribed and disclosed in its Registration Statement.

SECTION 5 – Definition of Terms Used in the Rules and Regulations

When used herein, unless the context otherwise requires:

1. **Act** means the Investment Company Act, Republic Act 2629.
2. **Actively-Managed ETF** is an ETF that uses the services of a portfolio manager or certain mathematical model to actively select the securities to be included in an investment portfolio and make strategic changes in that portfolio within the framework of the fund.
3. **Authorized Participant** is a registered broker-dealer that entered into a participating agreement or any similar arrangement with the ETF, and participates in the creation and redemption of shares in the ETF in accordance with the terms provided under the agreement between the Authorized Participant and the ETF.

4. **Arbitrage**, for purposes of the ETF, is the practice of the Authorized Participant to cause the creation of more ETF shares for sale in the secondary market, or to purchase ETF shares in the secondary market for redemption, in order to take advantage of the price differential of the ETF's Net Asset Value per share ("NAVps") and the market price.
5. **Basket of securities** is the bundle of securities whose names and numbers are specified each business day by an ETF, in exchange for which, the ETF will issue, or in return for which it will redeem ETF shares; provided that the ETF may allow cash to be a part of the basket in accordance with the pertinent provisions of these Rules.
6. **Index** is a single number that is calculated based on known methodology and is used to gauge the price and/or volume movements of a list of selected securities traded in an Exchange.
7. **Commission** refers to the Securities and Exchange Commission.
8. **Creation Unit** is the smallest block of ETF shares that can be created or redeemed by an Authorized Participant from the ETF as prescribed and disclosed in the Registration Statement.
9. **Custodian** is an entity that performs the functions and meets the requirements under Section 17 of these Rules.
10. **Exchange** is an organized marketplace or facility that brings together buyers and sellers and executes trades of securities and/or commodities.
11. **Exchange traded fund share** or **ETF share** is an equity security issued by an ETF.
12. **Index Provider** is a person that performs the functions and meets the requirements under Section 14 of these Rules.
13. **Indicative Net Asset Value ("INAV")** is an approximation of the current value of the basket of securities on a per share

basis computed at a fifteen (15)- second interval throughout the trading hours of the Exchange.

14. **Market Maker** is an Authorized Participant that assumes the obligation of providing two-way quotes following the rules of the Exchange and the Commission for the purpose of ensuring liquidity and of maintaining a fair and orderly trading market to the ETF shares.
15. **Net Asset Value ("NAV")** is the aggregate value of a fund as determined by the market value of its underlying securities holdings, including any cash in the portfolio less liabilities, computed at the close of the trading hours of the Exchange.
16. **NAVps or Net Asset Value per Share** is the computed NAV on a per share basis. It is calculated by dividing an ETF's total net assets by its number of shares outstanding.
17. **Passively-managed ETF** is an index fund that tracks a specific benchmark and any changes thereto.
18. **Rules** shall refer to these Rules and Regulations on Exchange Traded Funds.
19. **Secondary market** is the market where previously issued ETF shares are bought and sold.
20. **SRC** refers to the Securities Regulation Code, Republic Act 8799.
21. **Tracking error** is the standard deviation of the difference in relative returns between the ETF and its underlying index.

Unless otherwise specifically provided, the terms used in these Rules shall have the same meaning as defined in the Act.

SECTION 6 – Incorporation and Registration of the ETF

6.1 No person shall create and operate an ETF unless the latter is registered as such ETF in accordance with the Act and its implementing rules and regulations.

6.2 Minimum Requirements:

An ETF applying for incorporation with this Commission shall comply with the following requirements:

- A) The name of the corporation shall contain the words "Exchange Traded Fund" or "ETF";
- B) The purpose clause of the Articles of Incorporation shall provide that the corporation shall engage in the business of investing, reinvesting or trading in securities and shall issue and redeem its shares of stock in a defined creation unit in exchange for delivery of a basket of securities representing an index;
- C) All members of the Board of Directors shall be Filipino citizens;
- D) It shall have a minimum paid up capital of Two Hundred Fifty Million Pesos (Php 250,000,000.00);
- E) All shares of its capital stock shall be common, voting and, in general, redeemable in creation unit in accordance with the terms and conditions prescribed and disclosed in the Registration Statement; and,
- F) The pre-emptive right of stockholders to all issues or disposition of shares in proportion to their respective shareholdings shall be denied in the Articles of Incorporation of the ETF.

SECTION 7 – Registration of ETF Shares under the SRC

7.1 No person shall sell or offer for sale or distribute the shares of stock of an ETF unless such shares of stock have been registered in accordance with the requirements of the SRC.

7.2 No shares of stock of an ETF shall be registered pursuant to the SRC unless the assets of the corporation shall be primarily in baskets of securities comprising the index that it represents to track.

7.3 Relative to the above requirements:

- A. An ETF shall file a Registration Statement ("RS") using SEC Form 12-1 ETF signed by the principal executive officer or officers, its principal financial officer, its comptroller or principal accounting officer, and the majority of its board of directors or persons performing similar functions;

- B. Shelf Registration

Securities covered by an effective RS may continue to be offered or sold under the same terms and conditions within three (3) years from the effective date.

If the remaining registered but unsold securities shall be offered after the 3-year period mentioned in the immediately preceding paragraph, the registrant shall comply with the following requirements:

1. At least five (5) business days prior to the offering or sale of the securities, it shall inform the Commission in writing, through a prescribed format, the material changes, if any, in the RS previously rendered effective by the Commission; and,
2. Pay a fee in such amount as the Commission may determine for the subsequent sale of securities within seven (7) business days prior to the commencement of the sale.

7.4 Nothing herein shall preclude the Commission from requiring other information that it may deem consistent with public interest.

7.5 Investment of the Fund:

- A. Investment Objective and Policy. An ETF shall explicitly state in the RS its investment objective and policy.
- B. Changes in Investment Objective and Policy. Any change in the investment objective and policy shall be made in accordance with ICA. A rebalancing of the index or change

in its composition shall not be construed as a change in the investment policy of ETF.

- C. Investment Limitations. An ETF shall not be subject to the maximum or minimum investment limitations provided under ICA Rule 35-1.
- D. Liquidity Requirements. An ETF shall not be subject to the liquidity requirements provided under ICA Rule 35-1.

SECTION 8 – Liquidity of the ETF Shares and the Underlying Securities

An ETF applying for the registration of its shares of stocks shall be able to demonstrate to the satisfaction of the Commission that there shall be proper price formation in a secondary market for said shares by ensuring that:

1. the shares of stock of ETF shall be listed and traded in a registered Exchange;
2. At least two (2) Authorized Participants shall be appointed by the ETF, provided that at least one (1) of them shall act as market maker;
3. The underlying securities comprising the index are listed and traded in a registered Exchange and have sufficient liquidity; provided, that securities that are part of the main index of the Exchange shall be deemed to have sufficient liquidity; provided further, that the Exchange has considered liquidity as a criterion in the selection of securities for inclusion in the index, provided finally, that the ETF may provide for its own liquidity criteria and methodology which shall be disclosed in its RS;
4. The NAV and the NAVps shall be calculated daily after the trading in the Exchange closes. It shall be made available to the investing public by publishing it in the Exchange website and on the website of the ETF or such other location as may be approved by the Commission.

5. The INAV per share shall be calculated and published every fifteen (15) seconds or such other frequency as may be prescribed by the Commission from time to time or as proposed by the Exchange in its rules and approved by the Commission. It shall be made available to the investing public by publishing it in the Exchange board and website and on the website of the ETF or such other location as may be approved by the Commission.

SECTION 9 - Offering of the ETF shares

9.1 An ETF shall sell or offer for sale its shares of stock in any of the following manner:

1. An offer for sale to its designated Authorized Participants, provided, that the latter shall sell the ETF shares through the Exchange; and,
2. Such other method as may be prescribed herein by the Commission.

9.2 The manner of offering shall be fully provided for in the RS.

SECTION 10 - Listing of the ETF shares in an Exchange

Notwithstanding Section 9 of these Rules, no Exchange shall accept the listing of the shares of stock of an ETF unless said shares have been registered under the SRC.

SECTION 11 - In-Kind Issuance and Redemption of ETF Shares

11.1 As a general rule, shares of stock of an ETF shall be issued only upon delivery by the Authorized Participant of the basket of securities underlying an index, or redeemed, by delivering to the Authorized Participant the basket of securities after surrender of the ETF shares.

11.2 In relation to the issuance and redemption of ETF shares, the ETF shall disclose in its RS the following:

1. The terms and conditions for the in-kind issuance and redemption of ETF shares shall include among others, the valuation methodology, the price, timing, and procedures thereof;
2. Instructions to issue or redeem ETF shares in creation unit or multiples thereof shall be in writing;
3. Only an Authorized Participant shall be allowed to submit said issuance and redemption instructions to the ETF, provided that, any person who has accumulated the basket of securities comprising the index or the ETF shares equivalent to a creation unit may cause the Authorized Participant to present said basket of securities or ETF shares for issuance or redemption on his behalf; and,
4. The ETF shall prescribe the terms and conditions for the redemption of shares accumulated by an investor through the Authorized Participant, including the general manner by which such redemption shall be implemented. The more detailed procedures shall be agreed upon between the ETF and the Authorized Participant and stipulated in the written agreement between the two and disclosed to the investors.

11.2 Notwithstanding the foregoing paragraphs, an ETF may accept cash to account for the fractional value of the portfolio of underlying securities.

Section 12 - Issuance of ETF Shares in Exchange for Cash

In exceptional cases, an ETF may allow the issuance of ETF shares in exchange for cash subject to the following conditions:

1. This option, when exercised, is not prejudicial to the interest of existing shareholders and will not result in the disruption of an orderly market;

2. Any expenses or fees that are incurred in relation to such issuance shall be for the account of the person/investor causing such issuance;
3. Such an option is prescribed in the RS, including the exceptional cases under which said option may be exercised;
4. Only Authorized Participants, for their own accounts, are allowed to exercise such option;
5. The ETF shall purchase fully the underlying securities within the period prescribed in the RS;
6. The ETF shall fully record the exercise of such option and shall make said record available to the Exchange and the Commission upon request; and,
7. The Commission reserves the right to disallow the exercise of said option after determining that the in-cash arrangement is not consistent with the interest of the public, the protection of investors and/or the conduct of an orderly market.

Section 13 – Direct Redemption

Subject to the approval of the Commission, an ETF may provide for a direct redemption mechanism for the secondary market investors in exceptional circumstances such as, but not limited to:

- i. when an ETF is delisted;
- ii. when the secondary trading of ETF shares is disrupted over an extended period; or
- iii. when the market price of the ETF shares varies significantly from NAVps.

The threshold for said price variation and such other market circumstances as well as the manner and procedure for Direct Redemption shall be stated in the RS.

Section 14 - Index and the Index Provider

14.1 An ETF shall have entered into an agreement with an Index Provider before using the index designed, constructed and calculated by said Index Provider.

14.2 An ETF shall identify and fully describe the index that it plans to track and the provider of said index.

14.3 An ETF shall not be allowed to select or use indices whose rebalancing frequency is less than six (6) month period.

14.4 An ETF shall provide in its RS, among others, the following information:

1. Initial composition of the index and the corresponding weights;
2. Methodology used in the selection of the securities comprising the index and the rationale thereto;
3. Methodology used in the calculation of the index and the rationale thereto;
4. Name and brief educational and professional background of the owners, directors, officers and persons directly responsible for the design and review of the index; and,
5. Other indices designed, constructed and calculated by the index provider, current and for the last five (5) years, if any.

14.5 An ETF shall immediately disclose in a current report any change in the above-stated items and in accordance with the requirements of Section 17 of the SRC.

14.6 An ETF shall also accordingly disclose the information required under Section 23 hereof on Transparency of Index and Portfolio Holdings.

14.7 An ETF and its Index Provider shall disclose the anticipated level of tracking error in normal market conditions and the description of factors that may affect the ability of the

ETF to track the performance of the index. The ETF and its Index Provider shall also disclose the size of the tracking error in the annual and quarterly reports together with an explanation of any divergence between the anticipated and realized tracking error for the period.

14.8 An ETF and its Index Provider shall adopt measures reasonably designed to prevent misuse of non-public information between the ETF and the affiliated Index Provider.

Section 15 – Appointment of Fund Manager

15.1 An ETF shall appoint a reputable Fund Manager who shall register as Investment Company Adviser in accordance with the requirements of the ICA.

15.2 Majority of the directors and officers of the fund management company shall have a track record of at least five (5) years in managing funds.

15.3 The Fund Manager shall operate and administer the ETF in accordance with all the agreements that it entered into with the ETF and in compliance with the provisions and requirements of ICA, SRC, and Corporation Code and their implementing rules and regulations, including these rules, circulars, orders, and terms and conditions prescribed by the Commission.

15.4 Responsibilities of a Fund Manager. The duties and responsibilities of a Fund Manager shall include but not limited to the following:

- (a) perform its duties and responsibilities with due skill, care and diligence that a good father of a family would exercise in the position of being a Fund Manager;
- (b) uphold the best interests of shareholders in any of its acts at all times and shall avoid conflict of interest situations; if unavoidable, a disclosure shall be promptly made to the ETF board of directors; in any case, the ETF shall act accordingly to protect the shareholders' interests;

- (c) act honestly and fairly in managing the fund to the best and exclusive interest of the ETF and its shareholders;
- (d) not misappropriate information acquired as Fund Manager to gain an advantage for itself or for other person;
- (e) ensure the segregation of the ETF assets and other properties from those of its own account, physically and in the relevant records, by clearly and properly identifying and labeling the said assets and properties;
- (f) have sufficient resources, including competent manpower complement, and proper systems, procedures and processes to effectively and efficiently perform its business activities and its duties and responsibilities, and to ably supervise and ensure compliance with the regulatory requirements and other obligations;
- (g) comply with all the regulatory requirements and any other obligations set forth in all the agreements and arrangements that it entered into as Fund Manager;
- (h) not to perform activities that shall cause harm to the ETF and its shareholders.

The abovementioned duties and responsibilities shall also be imposed on the directors, officers and staff of the Fund Manager.

15.5 Oversight Responsibility of ETF over the acts of Fund Manager. An ETF, on its behalf, may authorize a Fund Manager to appoint and enter into agreement with other parties necessary in the operation of an ETF. However, the ETF shall still perform oversight responsibility over such appointment and shall undertake the necessary measures if, upon proper finding, the appointment of a party to an ETF, is not in the interest of the ETF shareholders.

Section 16 – Appointment of Authorized Participant

16.1 An ETF or its appointed Fund Manager shall appoint at least two (2) Authorized Participants (APs) which shall directly participate in the issuance and redemption of ETF shares, for its

own accounts or for the account of other persons, and which shall deal with investors in the distribution and secondary trading of the ETF shares.

16.2 An ETF or its appointed Fund Manager shall ensure that before it enters into an agreement with an AP, it shall have determined that said AP meets the following requirements:

1. It is a registered broker-dealer and an authorized trading participant of an Exchange;
2. It has adequate resources, including competent staff, and appropriate systems, procedures and processes to execute transactions in ETF shares in a proper and efficient manner;
3. It adopts adequate and effective internal control procedures, including the necessary measures to maintain independence of its different office units, and satisfactory risk management procedures; and,
4. It has entered into a formal written agreement with the ETF or the appointed Fund Manager which specifies, among others, its duties and responsibilities as such AP.

16.3 In case of an AP handling more than one exchange traded fund, the ETF, before appointing the AP, shall have identified areas that may give rise to conflict of interest issues to the AP and have discussed and provided measures to avoid, if not eliminate, such conflict.

16.4 An AP shall perform such additional duties and responsibilities, including acting as a market maker, in accordance with the agreement with the ETF, the rules of the Exchange and those of the Commission.

Section 17 – Appointment of Custodian

17.1 An ETF or its appointed Fund Manager shall appoint a qualified Custodian which shall take custody and control of the ETF assets and properties. The Custodian shall cause the release of said assets upon the proper instruction of the ETF or its Fund Manager.

17.2 An ETF or its appointed Fund Manager shall ensure that before it enters into an agreement with a Custodian, it shall have determined that said Custodian meets the following requirements:

1. It is either a registered universal or commercial bank with trust license, or a non-bank entity with a trust license, or a registered securities depository;
2. It has adequate resources, including competent staff, and appropriate systems, procedures and processes to ensure that the ETF assets and properties are held in the following manner:
 - a. Clearly identified and properly labeled as assets and properties of the ETF;
 - b. ETF assets and properties are properly segregated physically and/or on the records of the Custodian;
 - c. Unless otherwise authorized in writing by the Commission upon proper application, the assets and properties are registered in the name of or for the account of the ETF;
3. It adopts adequate and effective internal control procedures, including the independence between and among its different office units, and satisfactory risk management procedures; and,
4. It has entered into a formal written agreement with the ETF or its Fund Manager which specifies, among others, its other duties and responsibilities as such Custodian.

17.3 In case of a Custodian handling more than one exchange traded fund, the ETF or its Fund Manager, before appointing the Custodian, shall have discussed with said Custodian and identified areas that may give rise to conflict of interest issues and shall have provided measures to avoid, if not eliminate, such conflict of interest.

Section 18 – Appointment of a Transfer Agent

The ETF or its appointed Fund Manager shall appoint a registered transfer agent which shall maintain an accurate registry for recording the initial and subsequent transfer of shares.

SECTION 19 – Prospectus

An ETF, upon request by a prospective investor, shall provide the relevant prospectus which shall contain the data required under SRC Rule 12 and these rules. In addition, the following information shall be provided in the prospectus:

- (a) the name of the ETF share or instrument or its ticker code in the Exchange which shall contain the term "ETF";
- (b) the terms, features, rights, and privileges of the ETF shares;
- (c) the number of shares contained in a creation unit;
- (d) the terms on which their securities are to be offered to the public;
- (e) ETF shares can be bought and sold on the secondary market at the quoted market price through a trading participant of an Exchange which may require payment of brokerage commissions;
- (f) enumeration of the associated fees and expenses to be charged by Fund Manager, Authorized Participants, Custodian and Transfer Agent;
- (g) the anticipated level of tracking error in normal market conditions and the description of factors that may affect the ability of the ETF to track the performance of the index;
- (h) the procedure for Direct Redemption and the costs involved, if any;

- (i) the directors, officers, and any person holding more than ten per centum (10%) of any class of any equity security of the ETF;
- (j) the remuneration and interests in the securities of the individuals indicated in paragraph (i) above, and their material contracts with the ETF and any person directly or indirectly controlling or controlled by, or under direct or indirect common control with, the ETF;
- (k) bonus and profit-sharing arrangements;
- (l) management and service contracts;
- (m) options existing or to be created in respect of the securities of the individuals indicated in paragraph (i) above;
- (n) dividend policy;
- (o) material contracts, not made in the ordinary course of business, which are to be executed in whole or in part at or after the filing of the application or which were made not more than two (2) years before such filing, and every material patent or contract for a material patent right shall be deemed a material contract;
- (p) balance sheets for not more than the three preceding fiscal years, if applicable, certified by a registered public accounting firm;
- (q) profit and loss statements for not more than the three preceding fiscal years, if applicable, certified by an accredited public accounting firm;
- (r) copies of articles of incorporation, by-laws, trust indentures, or corresponding documents by whatever name known, underwriting arrangements, and other similar documents of, and voting trust agreements with respect to, the ETF and any person directly or indirectly controlling or controlled by, or under direct or indirect common control with, the ETF as the Commission may

require as necessary or appropriate for the proper protection of investors and to ensure fair dealing in the security; and,

- (s) Any further financial statements which the Commission may deem necessary or appropriate for the protection of investors.

SECTION 20 – Summary Prospectus

20.1 An ETF may provide a summary prospectus. However, upon request by an investor, an ETF shall also provide the statutory prospectus.

20.2 The key information in the summary prospectus shall include:

- a. Investment objective and policy;
- b. Costs (same as the risk/return summary fee table and example);
- c. Principal investment strategies, risks and performance;
- d. The fund's top ten (10) portfolio holdings as of the end of its most recent calendar quarter;
- e. Identity of investment advisers and portfolio managers;

Disclose the name of each investment adviser and sub-adviser of the fund, followed by the name, title, and length of service of the fund's portfolio managers.

- f. Brief purchase and sale and tax information;
- g. Financial intermediary compensation.

A fund must provide disclosure that if an investor purchases the fund through a broker-dealer or other financial intermediary (such as a bank), the fund and its related companies may pay the intermediary for the sale of fund shares and related services, and state that these

payments may influence the broker-dealer or other intermediary and the salesperson to recommend the fund over another investment.

h. The cover page of the Summary Prospectus shall contain the following:

- 1) The fund's name and the share classes to which the summary prospectus relates;
- 2) a statement identifying the document as a "summary prospectus";
- 3) the approximate date of the summary prospectus' first use; and,
- 4) the following legend:

Before you invest, you may want to review the Fund's prospectus, which contains more information about the Fund and its risks. You can find the Fund's prospectus and other information about the Fund online at [_____]. You can also get this information at no cost by calling [_____] or by sending an email request to [_____].

SECTION 21 – Delivery of Prospectuses to Investors

Broker-dealers selling ETF shares are obliged, upon request, to deliver a prospectus to interested parties.

SECTION 22 – Registration of Salesman and Associated Person

A registered salesman of an Authorized Participant or trading participant in an Exchange, prior to trading ETF shares, shall present a certification to the Commission that he has undergone a relevant training on ETF provided for by the Commission and/or any person authorized by the Commission.

SECTION 23 – Transparency of Index and Portfolio Holdings

23.1 An ETF shall maintain a website which shall be freely accessible by the public and which shall provide on a daily basis the following information:

- (i) the index that the ETF plans to track;
- (ii) the identities and weightings of the component securities and other assets held by the fund;
- (iii) the identities and weightings of the component securities and other assets of the index;
- (iv) the number and type of securities comprising the basket of securities with which the ETF could create or could redeem creation unit; and,
- (v) the performance of the index and the ETF.

23.2 Premium/Discount Information. An ETF shall disclose on its website the following information:

- a) the extent and frequency with which market prices of ETF shares have tracked the fund's NAVps;
- b) the prior business day's last determined NAV;
- c) the market closing price of its shares; and,
- d) the premium/discount of the closing price to NAVps.

23.3 The above disclosures are designed to alert investors to the current relationship between NAVps and the market price of the ETF's shares, and that they may sell or purchase ETF shares at prices that do not correspond to the NAVps of the fund.

SECTION 24 – Arbitrage Mechanism

An ETF shall operate with an arbitrage mechanism designed to minimize the potential deviation between the market price and NAVps or INAV per share of ETF shares. The ETF shall establish creation unit sizes, the number of shares of which are reasonably designed to facilitate arbitrage, which is described in the

definition of creation unit as the purchase (or redemption) of shares from the ETF with an offsetting sale (or purchase) of shares on an Exchange at as nearly the same time as practicable for the purpose of taking advantage of a difference in the NAVps and INAV per share and the current market price of the ETF shares.

SECTION 25 – Securities Lending Activity

An ETF may engage in securities lending provided it shall have expressed approval by the Commission. Provided, further, that:

- a) The securities lending activity shall be disclosed in the RS;
- b) The guidelines for securities lending shall provide that the net revenue arising from the activity shall be returned to the ETF;
- c) On-going disclosures thereon shall be included in the Annual Report; and,
- d) The ETF shall be able to recall any securities lent or terminate any securities lending agreement it has entered.

Provided, finally, that the ETF shall comply with the Rules on Securities Borrowing and Lending issued by the Commission and the Exchange.

SECTION 26 – Time for Delivering Redemption Proceeds

Redemptions shall be satisfied within the settlement period of the Exchange or the relevant Clearing Agency or such other period that the Commission may prescribe.

SECTION 27 – Reports and Records Requirements

27.1 An ETF shall comply with the following requirements:

- a) Monthly Issuance and Redemption Report of ETF creation units;

- b) Periodic and current reports and records required under the SRC and ICA; and,
- c) Other reports and records as may be required by the Commission from time to time.

27.2 The ETF annual and quarterly reports shall include the ETF return information. The ETF shall use the market price of fund shares in addition to the NAVps to determine its return and include a table with premium/discount information for the five recently completed fiscal years. It shall compare its performance to its underlying index.

SECTION 28 – Administrative Sanctions

If the Commission finds that there is a violation of any provision of the Act, or this Rule or any applicable rules under the SRC, or that any person, in a registration statement or its supporting papers and the prospectus, as well as in the periodic reports required to be filed with the Commission has made any untrue statement of a material fact or omitted to state any material fact required to be stated therein or necessary to make the statements therein not misleading or refuses to permit any lawful examination into its corporate affairs, the Commission shall, in its discretion impose additional sanctions provided by law aside from those established by existing regulations.

SECTION 29 – Applicability of certain regulations

29.1 The provisions of ICA, SRC and their implementing rules and regulations, and other relevant regulations insofar as they are applicable and not inconsistent herewith, shall apply suppletorily hereto.

29.2 The requirement under ICA Rule 35-1 mandating that sale of securities by investment companies shall be on cash basis shall not apply to ETF.

29.3 ETF shall not be subject to any Lock-Up requirement under ICA Rule 35-1.

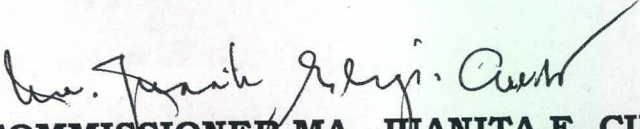
29.4 ETF shall be exempt from the mandatory tender offer rule under Section 19 of the SRC.

SECTION 30 – Effectivity

These rules shall take effect fifteen (15) days after the date of last publication in two (2) newspapers of general circulation in the Philippines.

Mandaluyong City, Metro Manila, October 19, 2012. .

For the Commission:


COMMISSIONER MA. JUANITA E. CUETO
Officer In Charge